

vengeanceaiUSCMODEL13.0 — Assumptions List

Ticker: FICO. Plain list only (no charts). Each item includes What / How / Why / Source. Download URL: https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel13-d3ac/FICO/output/MODEL13_FICO_ASSUMPTIONS_LIST.pdf

MODEL12 rated 6/10 (LT value lens). Exit context: BASE 21.0x EV/EBITDA (Yacktman premium vs peer median ~18.1x; bull 26.0x; bear 15.5x). Yacktman WACC = 7.80% (CAPM ref ≈ 9.24%).

Yacktman lens (MODEL12 rated 6/10): think of FICO equity as a long-duration AAA-equivalent bond — monopolistic B2B Scores pricing, rising SaaS deferred billings, and persistent buybacks. MODEL13 lowers WACC to 7.80%, lifts exit to 21.0x, separates Deferred cash inflows from Op NWC/AR, phases DSO, and sharpens incremental margins — optimistic cash conversion without fake plugs; BS identity always holds.

Yacktman AAA-equity WACC = 7.80% (policy band 7.5%–8.2%). FICO's Scores toll-bridge has ultra-low default risk and bond-like cash predictability; CAPM (~9.24% with $\beta \approx 1.32$) overstates the long-horizon discount rate for this franchise. Live CAPM stack remains in DCFIR15 as a reference; D6 is the Yacktman policy rate used for XNPV.

Base exit EV/EBITDA = 21.0x (raised from MODEL12 17.5x). A perpetual pricing-power compounder deserves a premium to the peer median (~18.1x); band Bull 26.0x / Bear 15.5x. Still below FICO spot (~25–27x).

MODEL13 splits working capital for cash-flow clarity (no double count): Operating NWC = AR + Inventory – AP (excludes Deferred). Δ Op NWC uses cash when AR/AP/Inv rise. Separately, Increase in Deferred Revenue is an explicit positive CFO / FCFF line (SaaS & maintenance billed upfront). DSO phases from FY25 hist ≈ 97 days → policy target 45 days over 5 years (removes MODEL12's punitive AR cliff). AR changes never absorb Deferred billings.

FY2025 10-K disaggregation (\$000s): B2B Scores 948,595; B2C myFICO 219,980; SaaS software 419,720; on-premises software 320,425; Professional services 82,149 (sum = Total revenues 1,990,869). FICO Platform ARR was \$263.6M (35% of software ARR) at 9/30/2025 — ARR is a KPI, not an incremental IS line. MODEL13 shifts +200 bps/yr from on-prem mix into SaaS to reflect the cloud transition (drives Deferred Revenue growth).

Deferred Revenue is a BS liability in Total Liabilities (AP + Debt + Deferred). It is NOT netted inside Op NWC for CFO. Forecast Deferred = Total Rev × (SaaS%+OnPrem%) × (FY25 Deferred ÷ FY25 software Rev). FY25 current deferred ≈ \$187.4M (10-K). Q1 FY2026 10-Q shows deferred roll-forward and notes maintenance/SaaS billed annually in advance (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>). Increase in Deferred = Def_t – Def_{t-1} is added in CFO and FCFF. Scores/myFICO usage fees are NOT forced into Deferred (no double count with AR).

CFO/FCFF add back TOTAL D&A; at ≈ 0.84% of Revenue (3yr avg DepreciationDepletionAndAmortization / Rev). That XBRL total already includes AmortizationOfIntangibleAssets — intangibles amortization is fully added back once (no separate second add-back).

SBC is added back once in CFO and FCFF at ≈ 8.25% of Revenue (ShareBasedCompensation). MODEL13 does NOT also dilute shares by SBC\$/Price (that would double-penalize). Share count instead falls with actual buyback cash outflows from residual levered FCF (3S equity CF row 20).

Starting shares = 23,764k (FYE Sep 30, 2025 outstanding). Each forecast year: Shares_t = Shares_{t-1} + EquityIssuanceCF_t / Price. EquityIssuanceCF is the buyback outflow (negative) from 3S row 20 — so repurchases REDUCE the share count. SBC is added back in FCFF but does NOT increase shares (avoids double penalty). \$/share uses Year-5 buyback-adjusted shares.

CapEx % of Revenue fades with operating leverage: 1.25% → 1.05% → 0.90% → 0.75% → 0.60%. FY1 starts near the 3yr hist avg of (PPE + capitalized software)/Rev; Y5 approaches asset-light maintenance intensity as Scores/SaaS mix dominates.

Pricing power: blended COGS% grinds –75 bps/yr from segment GM base; SG&A; grinds –125 bps/yr toward a 15% floor. B2B Scores unit-price increases have near-100% incremental gross margin (little variable COGS) — MODEL12's linear –40/–100 bps understated that cash conversion. FY25 10-K: Scores revenue +\$249M YoY 'primarily attributable to a higher unit price'.

DCF unlevered cash taxes use the 3yr average cash tax rate (IncomeTaxesPaidNet ÷ EBT ≈ 22.87%), not the book effective tax rate. The 3-statement income statement still applies book tax for NI.

Debt CF uses the 3yr avg net debt cash flow (≈ –\$291M/yr). Equity buybacks distribute residual levered FCF so cash does not stockpile. 10-K CF buybacks: FY23 \$406M / FY24 \$822M / FY25 \$1415M (avg ≈ \$881M). June 2025 authorization: \$1.0B program. Accretive buyback engine: robust FCFF → residual equity CF → lower forward share count in \$/share.

Balance sheet identity is enforced every year: Equity Capital = Total Assets – Total Liabilities – Retained Earnings (hard plug). Total Liabilities = AP + Debt + Deferred Revenue. Row-3 Balance Sheet Check flags any residual ≠ 0.

Primary filings hub: <https://investors.fico.com/financial-information/sec-filings> — segmentation from FY2025 10-K

(<https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>; IR

<https://investors.fico.com/static-files/663245db-39a2-4db7-8f89-284034bbccbf>). Deferred/contract liabilities: Q1 FY2026 10-Q detail

(<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>).

A. Three-Statement Forecast Assumptions

Row 7: Revenue Growth

What it is: Year-over-year % increase in revenue for each forecast year.

How set in model: Yellow POLICY input: 27% / 16% / 13% / 10% / 7%.

Why this choice: Y1 $\approx$ company FY2026 revenue guidance ($\sim$ \$2.53B / FY25 \$1.991B – 1 $\approx$ 27%). Then fade toward terminal $g=3\%$ (not straight-lined). This is the main forward-looking judgment; it drives Rev $\rightarrow$ GP $\rightarrow$ EBT $\rightarrow$ Net Earnings $\rightarrow$ CF.

Source: SEC EX-99.1 Q3 FY2026 — updated FY2026 revenue guidance \$2.53B

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

Row 8: COGS % of Revenue

What it is: Cost of revenues as a % of sales (gross margin = 1 – this).

How set in model: Excel: MAX(10%, segment blended COGS base $\approx$ 17.60% – 75bps $\times$ year).

Why this choice: MODEL13 Yacktmán: Pricing power: blended COGS% grinds –75 bps/yr from segment GM base; SG&A; grinds –125 bps/yr toward a 15% floor. B2B Scores unit-price increases have near-100% incremental gross margin (little variable COGS) — MODEL12's linear –40/–100 bps understated that cash conversion. FY25 10-K: Scores revenue +\$249M YoY 'primarily attributable to a higher unit price'. Mix % offset within Total Revenue (not a second revenue stack).

Source: SEC 10-K FY2025 — Scores +\$249M YoY 'primarily attributable to a higher unit price'

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 9: SG&A; % of Revenue

What it is: Operating opex (SG&A;) as % of sales.

How set in model: Equation: MAX(15%, (I28 – 10,922)/I24 – 125bps $\times$ year). Strips FY25 restructuring; then –1.25% of sales each year.

Why this choice: MODEL13 Yacktmán: faster opex leverage (–125 bps/yr, floor 15%) as Scores near-100% incremental margins and SaaS scale drop incremental dollars below the line (MODEL12 used –100 bps).

Source: SEC 10-K FY2025 — SG&A; + Scores pricing commentary

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 10: R&D; % of Revenue

What it is: Research & development expense as % of sales (IS label: R&D;, not Rent).

How set in model: Excel equation: I29/I24 held flat ($\sim$ 9.46%).

Why this choice: FICO reinvests steadily in analytics/software. Flat % grows dollars with revenue.

Source: SEC 10-K FY2025 — Research and development

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 11: D&A; % of Revenue

What it is: Total depreciation & amortization as % of sales (software-industry driver).

How set in model: Yellow POLICY input: flat 0.84% (3yr FY23–25 avg TOTAL D&A;). Forecast DA\$ = Revenue $\times$ DA%; CF row 63 adds it back once.

Why this choice: MODEL13: CFO/FCFF add back TOTAL D&A; at $\approx$ 0.84% of Revenue (3yr avg DepreciationDepletionAndAmortization / Rev). That XBRL total already includes AmortizationOfIntangibleAssets — intangibles amortization is fully added back once (no separate second add-back).

Source: SEC companyfacts — DepreciationDepletionAndAmortization (+ AmortizationOfIntangibleAssets)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 12: Interest % of Debt Open

What it is: Interest expense as % of opening debt balance.

How set in model: Excel equation: I101/I98 (FY25 interest ÷ FY25 opening debt in schedule).

Why this choice: Approximates average coupon / cost of debt on the book. Debt stock follows the net debt issuance assumption (row 19).

Source: SEC 10-K FY2025 — Interest expense; see also 8-K 6.250% notes

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 13: Book Tax Rate (% of EBT)

What it is: Effective book tax rate applied to forecast EBT → Net Income.

How set in model: Excel equation: I35/I33 (FY25 tax ÷ simplified FY25 EBT in this template).

Why this choice: Book rate (~19%) remains on the income statement. DCF unlevered cash taxes use a separate cash tax rate ($22.87\% = 3\text{yr IncomeTaxesPaidNet}/\text{EBT}$). DCF unlevered cash taxes use the 3yr average cash tax rate ($\text{IncomeTaxesPaidNet} \div \text{EBT} \approx 22.87\%$), not the book effective tax rate. The 3-statement income statement still applies book tax for NI.

Source: SEC 10-K FY2025 — tax expense; cash taxes from IncomeTaxesPaidNet

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 15: DSO — Accounts Receivable (Days)

What it is: Days Sales Outstanding. $\text{AR} = \text{Revenue} \times \text{DSO} / 365$.

How set in model: Yellow POLICY path: phases 97d (FY25 hist) → 45d over 5 years (Y1≈86.6d ... Y5=45d). Segment blend ref ≈ 31.9d on schedule row 115 (SaaS 45/B2C 2/B2B 30/PS 15/On-prem 45).

Why this choice: MODEL13 fix vs MODEL12 (6/10): removes the punitive one-year AR cliff (hist ~97d → ~32d). MODEL13 splits working capital for cash-flow clarity (no double count): Operating NWC = AR + Inventory – AP (excludes Deferred). Δ Op NWC uses cash when AR/AP/Inv rise. Separately, Increase in Deferred Revenue is an explicit positive CFO / FCFF line (SaaS & maintenance billed upfront). DSO phases from FY25 hist ≈ 97 days → policy target 45 days over 5 years (removes MODEL12's punitive AR cliff). AR changes never absorb Deferred billings. Deferred Revenue is a BS liability in Total Liabilities (AP + Debt + Deferred). It is NOT netted inside Op NWC for CFO. Forecast Deferred = Total Rev × (SaaS%+OnPrem%) × (FY25 Deferred ÷ FY25 software Rev). FY25 current deferred ≈ \$187.4M (10-K). Q1 FY2026 10-Q shows deferred roll-forward and notes maintenance/SaaS billed annually in advance (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>). Increase in Deferred = Def_t – Def_{t-1} is added in CFO and FCFF. Scores/myFICO usage fees are NOT forced into Deferred (no double count with AR).

Source: SEC 10-K FY2025 — AR; payment terms 30–60 days; Q1 FY2026 deferred detail

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

Row 16: Inventory (Days)

What it is: Inventory days (Inv = COGS × days/365).

How set in model: Hard zero — FICO is software / scores; inventory is immaterial.

Why this choice: No inventory cycle to fund.

Source: SEC 10-K FY2025 — Inventory ≈ \$0

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 17: DPO — Accounts Payable (Days)

What it is: Days Payable Outstanding. $\text{AP} = \text{COGS} \times \text{DPO} / 365$.

How set in model: Excel equation: ROUND(I48/I25×365, 0) from FY25; held flat.

Why this choice: MODEL13: DPO pairs with phased DSO for Op NWC = AR+Inv–AP. Deferred is a SEPARATE CFO cash source (row 81) — never mixed into AR/DPO.

Source: SEC 10-K FY2025 — Accounts payable

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 18: CapEx % of Revenue

What it is: Capital investment (PPE + capitalized software) as % of sales.

How set in model: Yellow POLICY path: 1.25% / 1.05% / 0.90% / 0.75% / 0.60% (fade with operating leverage).

Why this choice: MODEL13 Yacktman: CapEx % of Revenue fades with operating leverage: 1.25% → 1.05% → 0.90% → 0.75% → 0.60%. FY1 starts near the 3yr hist avg of (PPE + capitalized software)/Rev; Y5 approaches asset-light maintenance intensity as Scores/SaaS mix dominates.

Source: SEC 10-K / companyfacts — PPE purchases + capitalized software; fade to maintenance

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 19: Debt Issuance (Repayment)

What it is: New borrowing (+) or repayment (–) in the forecast (\$000s).

How set in model: Yellow POLICY input: -290,917 each year (3yr avg senior-note proceeds – line-of-credit repayments).

Why this choice: MODEL13: Debt CF uses the 3yr avg net debt cash flow ($\approx$ -\$291M/yr). Equity buybacks distribute residual levered FCF so cash does not stockpile. 10-K CF buybacks: FY23 \$406M / FY24 \$822M / FY25 \$1415M (avg $\approx$ \$881M). June 2025 authorization: \$1.0B program. Accretive buyback engine: robust FCFF → residual equity CF → lower forward share count in \$/share. Financing is excluded from FCFF.

Source: SEC companyfacts — ProceedsFromIssuanceOfSeniorLongTermDebt / RepaymentsOfLinesOfCredit

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 20: Equity Issued (Repaid)

What it is: New equity issued (+) or buybacks (–) in the forecast BS/CF.

How set in model: Equation: $-(\text{CFO} - \text{CapEx}) - \text{DebtIssuance}$ so residual levered FCF funds buybacks (hist 3yr avg buybacks $\approx$ \$881M/yr).

Why this choice: Restores financing realism so cash does not artificially stockpile. Buybacks are financing — excluded from FCFF. DCF share count FALLS with this buyback outflow. Starting shares = 23,764k (FYE Sep 30, 2025 outstanding). Each forecast year: $\text{Shares}_t = \text{Shares}_{t-1} + \text{EquityIssuanceCF}_t / \text{Price}$. EquityIssuanceCF is the buyback outflow (negative) from 3S row 20 — so repurchases REDUCE the share count. SBC is added back in FCFF but does NOT increase shares (avoids double penalty). \$/share uses Year-5 buyback-adjusted shares.

Source: SEC 10-K FY2025 — Repurchases of common stock (\$1.415B); June 2025 \$1B authorization

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 21: SBC % of Revenue

What it is: Stock-based compensation as % of sales; non-cash add-back in CFO and FCFF.

How set in model: Yellow POLICY input: flat 8.25% (3yr FY23–25 avg ShareBasedCompensation / Revenue).

Why this choice: MODEL13 Yacktman: SBC is added back once in CFO and FCFF at $\approx$ 8.25% of Revenue (ShareBasedCompensation). MODEL13 does NOT also dilute shares by SBC\$/Price (that would double-penalize). Share count instead falls with actual buyback cash outflows from residual levered FCF (3S equity CF row 20).

Source: SEC 10-K cash flow — ShareBasedCompensation (add-back only; no share dilution)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 104: Mix % — SaaS / Platform software

What it is: Share of Total Revenue from SaaS / cloud software (incl. FICO Platform cloud).

How set in model: FY25 base 21.08% (SaaS \$419,720k / Total \$1,990,869k), then +200 bps/yr taken from on-prem. Platform ARR KPI \$263.6M is not additive IS revenue.

Why this choice: SaaS billed annually in advance → Deferred Revenue growth → explicit CFO cash source (3S row 81).

Source: Q1 FY2026 10-Q deferred roll-forward

(<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/fico-20251231.htm>). Mix offsets within Total Rev — not a second revenue line.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue / contract liabilities detail

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

Row 105: Mix % — B2C Subscriptions (myFICO)

What it is: Share of Total Revenue from B2C scoring / myFICO.com subscriptions.

How set in model: Yellow POLICY = 11.05% (FY25 B2C Scores \$219,980k / Total \$1,990,869k).

Why this choice: Near-zero DSO (card-settled consumer subscriptions). Minimal Deferred Revenue vs annual SaaS invoices. High incremental margin; WC-light cash conversion.

Source: SEC 10-K FY2025 — Scores segment B2C / myFICO disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 106: Mix % — B2B Scores

What it is: Share of Total Revenue from B2B scoring (mortgage, auto, card via CRAs).

How set in model: Yellow POLICY = 47.65% (FY25 B2B Scores \$948,595k / Total \$1,990,869k).

Why this choice: Transactional volume through Experian/TransUnion/Equifax; ~30-day DSO. Does not create SaaS-style Deferred Revenue (usage-based recognition).

Source: SEC 10-K FY2025 — Scores segment B2B disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 107: Mix % — Professional Services

What it is: Share of Total Revenue from implementation / consulting / training fees.

How set in model: Yellow POLICY = 4.13% (FY25 PS \$82,149k / Total \$1,990,869k).

Why this choice: Upfront integration fees convert cash quickly (low DSO) but carry significantly lower gross margin than software/scores — pulls blended COGS up vs pure SaaS.

Source: SEC 10-K FY2025 — Software segment Professional services line

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 108: Mix % — On-Premises Software

What it is: Share of Total Revenue from on-premises license + maintenance software.

How set in model: Yellow POLICY = 16.09% (FY25 on-prem \$320,425k / Total \$1,990,869k).

Why this choice: With SaaS mix, drives Deferred Revenue (maintenance billed in advance). Same 45-day DSO policy as SaaS. Completes mix identity to 100% of Total Rev.

Source: SEC 10-K FY2025 — Software on-premises vs SaaS deployment table

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

B. DCF Assumptions

DCF-D5: Cash Tax Rate (unlevered)

What it is: Cash tax rate used for FCFF unlevered taxes and after-tax cost of debt.

How set in model: Yellow POLICY = 22.87% (3yr avg IncomeTaxesPaidNet ÷ EBT). NOT linked to book tax J13.

Why this choice: DCF unlevered cash taxes use the 3yr average cash tax rate (IncomeTaxesPaidNet ÷ EBT ≈ 22.87%), not the book effective tax rate. The 3-statement income statement still applies book tax for NI.

Source: SEC companyfacts — IncomeTaxesPaidNet / EBT

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

DCF-D6: WACC (Yacktman AAA-equity discount rate)

What it is: Weighted average cost of capital for XNPV of FCFF + TV.

How set in model: Yellow POLICY D6 = 7.80% (band 7.5–8.2%). CAPM stack kept at R15 ≈ 9.24% as reference only (not used for XNPV).

Why this choice: Yacktman AAA-equity WACC = 7.80% (policy band 7.5%–8.2%). FICO's Scores toll-bridge has ultra-low default risk and bond-like cash predictability; CAPM (~9.24% with $\beta \approx 1.32$) overstates the long-horizon discount rate for this franchise. Live CAPM stack remains in DCF!R15 as a reference; D6 is the Yacktman policy rate used for XNPV.

Source: Yacktman AAA-equity framework; CAPM ref FRED/Damodaran/Yahoo/8-K

Source URL: <https://fred.stlouisfed.org/series/DGS10>

DCF-D7: Perpetual Growth (g)

What it is: Long-run growth used only in the Gordon TV cross-check.

How set in model: POLICY input = 3.0%.

Why this choice: Long-run nominal GDP-like floor; primary TV uses exit multiple.

Source: Damodaran long-run growth framing

Source URL: https://pages.stern.nyu.edu/adamodar/New_Home_Page/datafile/histimpl.html

DCF-D8: Exit EV/EBITDA (BASE)

What it is: Terminal enterprise value multiple on Year-5 EBITDA.

How set in model: POLICY BASE 21.0x; Bull 26.0x; Bear 15.5x. Peer set: EFX 13.88x, VRSK 17.42x, SPGI 18.11x, MCO 22.20x, MSCI 23.74x. Median $\approx$ 18.11x.

Why this choice: Base exit EV/EBITDA = 21.0x (raised from MODEL12 17.5x). A perpetual pricing-power compounder deserves a premium to the peer median ($\sim$ 18.1x); band Bull 26.0x / Bear 15.5x. Still below FICO spot ($\sim$ 25–27x).

Source: VCP Scanner FICO peer EV/EBITDA comps + Yacktman premium

Source URL: <https://vcpsscanner.com/valuation/fico/relative>

DCF-D13/D14: Debt & Cash (equity bridge)

What it is: Gross debt and cash+marketable securities for EV $\rightarrow$ equity.

How set in model: Latest 10-Q bridge totals (more current than FY25 3S balances).

Why this choice: Bridge should reflect the latest capital structure; 3S FY25 shown as reference.

Source: SEC 10-Q — Fair Isaac Corp

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000016/fico-20250331.htm>

DCF-D12/I16: Shares Outstanding (buyback-adjusted)

What it is: Starting shares (D12 = 23,764k FYE25) fall each year with buybacks (3S equity CF / price). SBC is added back in FCFF but does NOT increase shares — avoids double penalty. \$/share uses Y5 shares (I16).

How set in model: D16=\$D\$12; E16:I16 = MAX(1000, prior + 3SI{J-N}20 / \$D\$11); D37=\$D\$35/\$I\$16.

Why this choice: Starting shares = 23,764k (FYE Sep 30, 2025 outstanding). Each forecast year: Shares_t = Shares_{t-1} + EquityIssuanceCF_t / Price. EquityIssuanceCF is the buyback outflow (negative) from 3S row 20 — so repurchases REDUCE the share count. SBC is added back in FCFF but does NOT increase shares (avoids double penalty). \$/share uses Year-5 buyback-adjusted shares.

Source: SEC 10-K FY2025 — shares outstanding 23,764k; buybacks \$1.415B

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

DCF-E25: Net WC investment (Δ OpNWC – Δ Deferred)

What it is: FCFF subtracts Δ Operating NWC (AR+Inv–AP) and adds Increase in Deferred Revenue. AR and Deferred are strictly separated.

How set in model: DCF E25:I25 = 3SI{J-N}90 – (3S Def_t – Def_{t-1}). Equivalent to $-\Delta$ OpNWC + Δ Deferred inside UFCFF.

Why this choice: MODEL13 splits working capital for cash-flow clarity (no double count): Operating NWC = AR + Inventory – AP (excludes Deferred). Δ Op NWC uses cash when AR/AP/Inv rise. Separately, Increase in Deferred Revenue is an explicit positive CFO / FCFF line (SaaS & maintenance billed upfront). DSO phases from FY25 hist $\approx$ 97 days $\rightarrow$ policy target 45 days over 5 years (removes MODEL12's punitive AR cliff). AR changes never absorb Deferred billings. Deferred Revenue is a BS liability in Total Liabilities (AP + Debt + Deferred). It is NOT netted inside Op NWC for CFO. Forecast Deferred = Total Rev $\times$ (SaaS%+OnPrem%) $\times$ (FY25 Deferred $\div$ FY25 software Rev). FY25 current deferred $\approx$ \$187.4M (10-K). Q1 FY2026 10-Q shows deferred roll-forward and notes maintenance/SaaS billed annually in advance (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>). Increase in Deferred = Def_t – Def_{t-1} is added in CFO and FCFF. Scores/myFICO usage fees are NOT forced into Deferred (no double count with AR).

Source: SEC 10-Q Q1 FY2026 — Deferred revenue roll-forward (R45)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>